

# Question 1

Partially correct    Mark 1.00 out of 5.00     Flag question

Consider the information below for two economies (note that all figures are in millions):

|                           | Economy A | Economy B |
|---------------------------|-----------|-----------|
| Employed                  |           |           |
| Unemployed                |           |           |
| Labour force              |           | 8.0       |
| Population of working age | 20.0      | 10.0      |
| Out of labour force       |           |           |

(a) If Economy A's participation rate is 95 percent, and the employment rate for Economy A is 90 percent, Economy A's unemployment rate is   percent. (Please answer to 3 decimal places.)

(b) If Economy B's employment rate is 75 percent, Economy B's unemployment rate is   percent. (Please answer to 3 decimal places.)

(c) The economy with the lower unemployment rate is   .

Recall the key formulae from Unit 9, section 9.2:

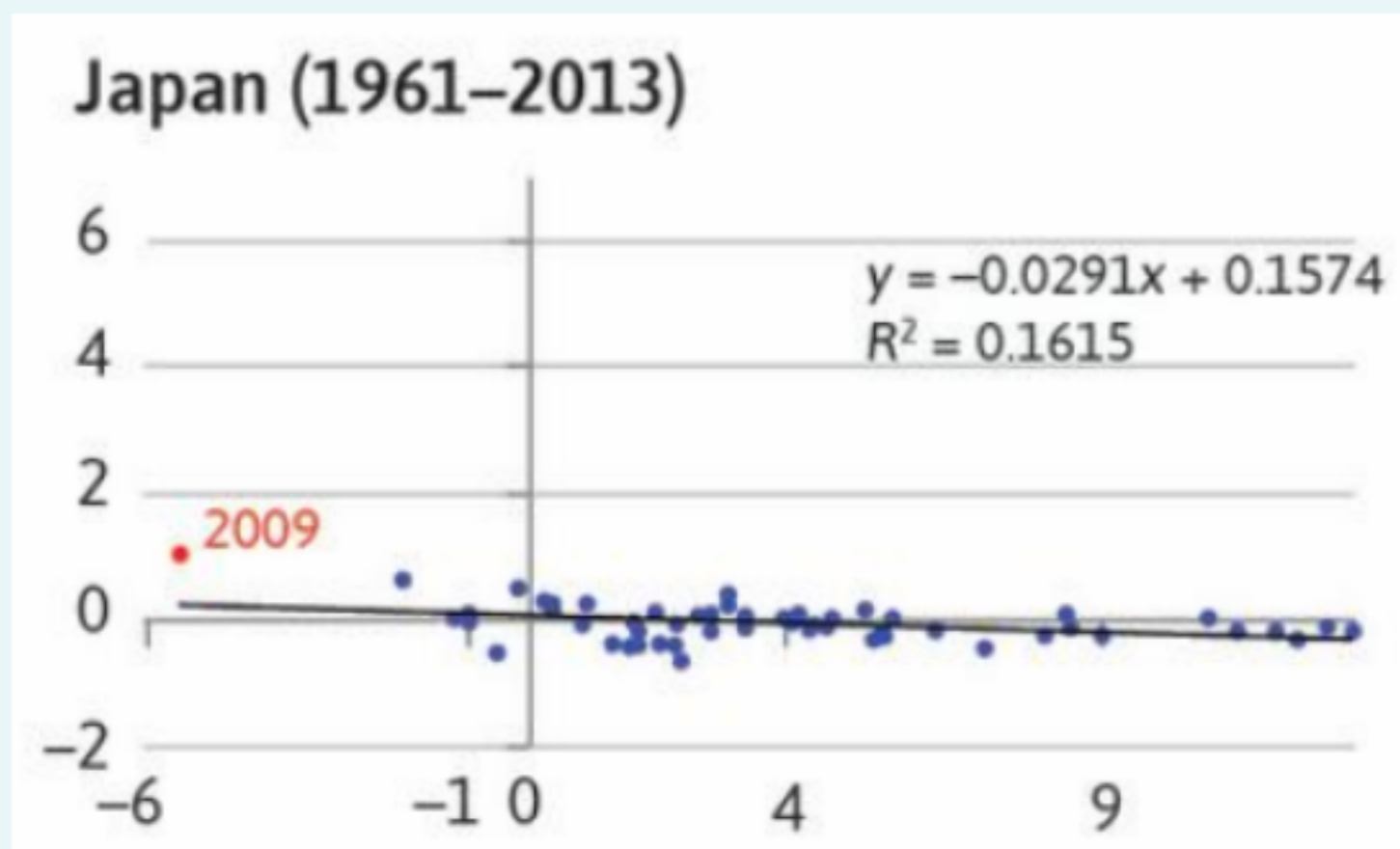
- $\text{Participation rate} = \text{labour force} / \text{population of working age}$
- $\text{Labour force} = \text{unemployed} + \text{employed}$
- $\text{Population of working age} = \text{labour force} + \text{out of labour force}$
- $\text{Employment rate} = \text{employed} / \text{population of working age}$
- $\text{Unemployment rate} = \text{unemployed} / \text{labour force}$

With the information provided in the question and the key equation(s) above, you should be able to calculate the unemployment rate.

## Question 2

Correct Mark 6.00 out of 6.00 [Flag question](#)

The graph below shows the relationship between real GDP growth and change in unemployment for Japan between 1961 and 2013.



The equation shown is the regression result for the best-fitting line. Based on this information, answer the following questions.

The intercept of the best-fitting line is  (answer to 3 decimal places).

Okun's coefficient is  (answer to 3 decimal places).

An output growth rate of 3 percent will  the unemployment rate by  (answer to 3 decimal places) percentage points on average.

If, instead, real GDP fell by 1.8 percent, the predicted rise in the unemployment rate would have been

(answer to 3 decimal places) percentage points.

# Refer to the discussion on Okun's Law in Unit 13 of *The Economy* - specifically section 13.2. This should help.